CASE STUDY

Data Drives Revenue Growth

Customized approach to closed-loop measurement turns data into retail gold

adtaxi

An Advanced Data Activation & Attribution Strategy



A regional chain of Appliance/Electronics/Furniture/Mattress stores located in the U.S. has a loyal customer base that enjoys visiting their retail locations. While they offer ecommerce for many of their products, 90+% of their sales happen in their brick-and-mortar stores. Due to their extensive history and the nature of their business, they had an extremely robust Customer Relationship Management (CRM) system with multiple years of customer purchase data, mostly around major appliance sales.

As an appliance retailer with a solid supply chain, they benefited from the incredible demand for their products during the early months of the COVID-19 pandemic. While they had great brand recognition for appliances, they were looking to steadily grow sales in their other core categories of Electronics, Furniture, and Mattress. Adtaxi designed and executed an advanced data activation and attribution strategy to help the appliance retailer leverage their existing CRM data to generate new and incremental revenue, as well as help our campaign managers optimize digital media investments for maximum return.

CHALLENGES

Reorganizing and keeping data segments up to date

Leveraging value proposition to reach potential customers

Mitigating costs on high-LTV buyers more likely to repurchase

Steadily grow sales in other core categories

SOLUTIONS

Advanced activation and attribution leveraged existing CRM data

Optimized digital media investments for maximum return, generating revenue

RESULTS

39%
increase in in-store purchases

59%
increase in total in-store revenue

≈200%
increase in ROAS for Mattress/Bedding category

Creating Strategic Segments

When Adtaxi began the project, the client supplied our Data Science (DS) team with the most recent 7 years of purchase history for all customers and all products. Using the data, our DS team used Python scripts to reorganize the data where each customer was a row in the table and we were able to identify key fields such as last purchase date, last item purchased, previous purchase history, cumulative lifetime value, and more. We then segmented the CRM list into strategic segments that were then imported appropriately to our applicable ad platforms (Google, Facebook, The Trade Desk, Microsoft Ads, etc.).

Custom Optimizations

Prior to its depreciation in August 2021, Adtaxi leaned heavily on Facebook's (now Meta's) Attribution tool for multi-touch media attribution (MTA) using both online and offline data sets. Adtaxi also built a complex system of measurement for the client. We used different offline conversions from Facebook to denote different types of conversions. Additionally, we built a proprietary Python script to take these 7 different weekly data exports from FB and join them with our respective ad platform metrics to round out the datasets for each Ad Platform. This script then parsed out closed-loop holistic performance metrics that we used to optimize campaigns for maximum impact.

When we heard the news that FB was planning on shutting down their attribution tool due to the predicted impact that Apple's iOS14.5 update (ATT) would have on FB's data, we took our learnings and built offline measurement within each respective platform (using LiveRamp for TTD and Bing, Google Store Sales using weekly hashed CRM uploads, FB offline attribution using FB endemic tools).

Key Insights

Adding the full suite of media into FB's attribution tool allowed Adtaxi to test different supported attribution models and time-decay windows. While Adtaxi lost MTA measurement when we lost FB attribution, we have greater knowledge within each platform, giving us better optimization capabilities. Segmenting the CRM list into strategic segments helped the client reach new potential customers and mitigate costs on past purchasers with high LTV who would most likely repurchase without heavy retargeting.

Weekly Analysis

Overall, we updated our Python scripts to focus on these data sets and are now able to quickly and efficiently extract, compile and analyze their data weekly to help our client with revenue growth across all categories from both existing customers as well as new customer acquisition. Adtaxi implemented our program and campaign starting October 1, 2020, and CYQ4 results exceeded the client's expectations, even after a robust year where they benefited from consumer shopping trends during COVID.

Outstanding Results

For CYQ1 2021, total in-store purchases were up 39% vs CYQ4 2020, with total in-store revenue deterministically tied to those purchases up 59% over the prior period (a very material 8-figure increase). As a subset of the total, the client's Mattress/Bedding category purchase revenues were up 83% compared to the prior period, with Furniture category purchase revenues up 28%. TV/Electronic Purchases were only up 3%, but considering the prior period included Black Friday and Cyber Monday, the client was thrilled with above-budgeted gains in the category.

As the program has matured and performance benchmarks increased, we're still seeing excellent results from the continual refinement of the strategy. Compared to H2 2021 (July 2021 - December 2021), H1 2022 (January 2022 - June 2022) has seen relatively flat programmatic spend. However, total purchase revenue (in-store & online combined) is up 11% period over period for programmatic campaigns. Mattress/Bedding purchase revenues are up 24% versus the prior period, and Furniture purchase revenues are up 21% compared to the previous.

Strategic Targeting

When Adtaxi looks at the rich data behind individual Ad Group performance, we are truly able to see the impact of the client's first-party data on our prospecting efforts. For example, the offline "recent mattress purchaser - high value - look-a-like" audience outperforms "off the shelf" 3rd party data segments for "Mattress purchase intent" by almost 3:1 in terms of ROAS for Mattress/Bedding specific purchases, a nearly 200% increase in performance that we see replicated across other prospecting campaigns.